

43)(i) Employee Attrition rate.

It is the rate at which employees leave an organization divided by average number of employees at the organization at a specified given time.

(ii) Ways to reduce employee attrition.

- organizations have to hire right manpower for right position
- ~~understand the~~ employees need to be acknowledged and given praise when due.
- A proper career path should be provided to employees.
- A flexible work schedule is highly desirable in order to reduce employee attrition.

(iii) Importance of employee turnover in an organization

It provides:

- improved organizational performance

- innovation &

- growth.

(iv) It can provide a unfavourable effect on morale of remaining employees. Existing employees face additional stress thereby lower productivity.